

SCALING MSMEs FOR VIKSIT BHARAT

Despite a series of reforms in recent years, formalisation of MSMEs has been impacted by large companies maximising market share, trivialising the benefits available to MSMEs



SWAPNIL KOTHARI & DR RUMKI MAJUMDAR

KOTHARI (LEFT) IS A CORPORATE LAWYER AND PRESIDENT OF THE COUNCIL FOR FAIR BUSINESS PRACTICES; MAJUMDAR IS AN ECONOMIST AND AN ADVISORY BOARD MEMBER OF THE COUNCIL FOR FAIR BUSINESS PRACTICES



India has a rare window of opportunity as countries and MNCs alike are seeking resilient, and scalable alternatives in Asia

► **WITH OVER 59** million enterprises powering nearly a third of India's gross domestic product (GDP) and almost half of its exports, and employing 41.8% of its working population, micro, small, and medium enterprises (MSMEs) are the invisible engine of India's growth and employment. As global supply chains pivot toward Asia, many of its MSMEs remain locked in a low-value cycle, discouraged from formalising and subtly coerced into staying informal, despite government policy support intended to foster formalisation and competitiveness.

Sometimes, regulatory leniencies have been extended to ensure MSMEs' survival during challenging times. For instance, the objective of the regulatory body, the Competition Commission of India (CCI), is to protect consumers' interests and ensure freedom of trade. However, the regulatory body, at times, has not strictly applied a few provisions of the Act to MSMEs and instead, has cut them a bit of slack to preserve their existence. A case in point is where the CCI issued a cease-

and-desist order against eight firms, which had contravened Section 3 of the Act. These firms had embroiled themselves in cartelisation (which is one of the things that the Competition Act frowns upon, and MSMEs are not immune) by manipulating the bidding process during stressful times of Covid-19 due to limited staff and turnover. They later cooperated in owning up, avoiding monetary penalties under lenient enforcement.

However, despite a series of well-meaning reforms, formalisation incentives, and leniencies in recent years, the sector continues to operate largely in the shadows of the informal economy. One reason is that large-scale corporations, who are their vendors and clients, tend to maximise the market share, trivialising the aforesaid benefits available to MSMEs. When the stronger parties, particularly large corporations, externalise their working capital burdens onto weaker MSMEs, it not only undermines trust and policy but also creates a profound ethical and economic challenge. Larger corporations have access to greater resources, economies of scale, and technology. Yet, MSMEs are penalised for seeking timely payments, which is their right. Buyers have